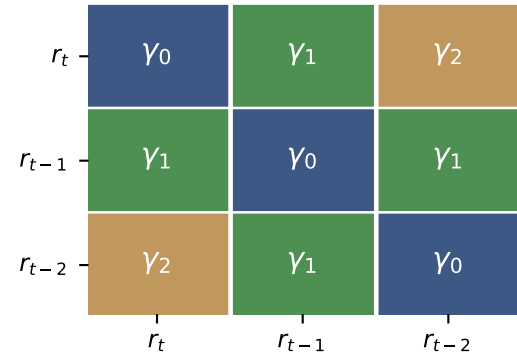
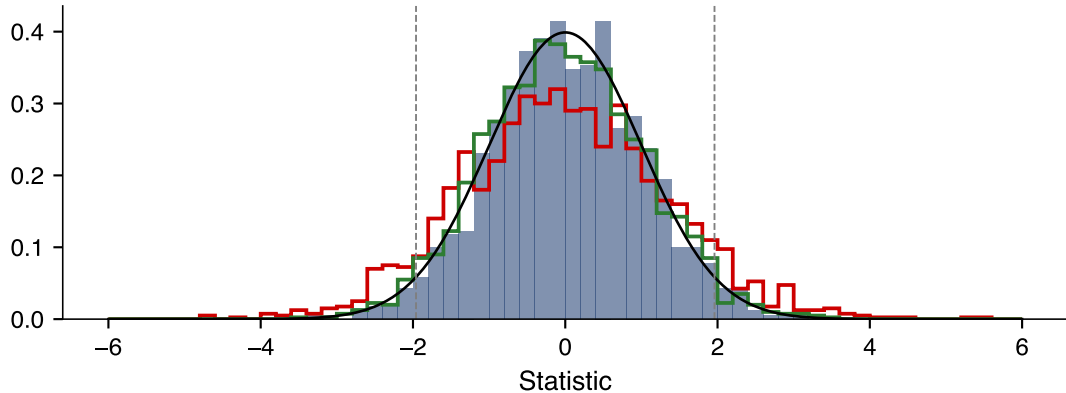


$$\text{Var}(r_t + r_{t-1} + r_{t-2}): 3 \gamma_0 + 4 \gamma_1 + 2 \gamma_2$$



Null distributions,  $T = 1000, 2000$  simulations



- $z(2)$ , i.i.d. returns:  $|z| > 1.96$  in 5.0%
- $z^*(2)$ , GARCH returns: 5.2%
- $z(2)$ , GARCH returns: 13.5%
- $N(0,1)$  density